Notes: Solomon, Soltes & Sosyura (JFE, 2014)

Winners in the Spotlight: Media Coverage of Fund Holdings as a Driver of Flows

Contents

1 Big picture

- **Question.** Does media coverage of stocks held by mutual funds affect how investors allocate capital across funds?
- **Setting.** The paper studies U.S. open-end domestic active equity mutual funds from **1998 to 2008**, links their disclosed portfolio holdings to newspaper coverage of the held stocks, and then studies subsequent fund flows.
- **Core empirical challenge.** If a fund receives inflows after holding well-performing stocks, this could reflect many channels: the fund's own performance, the objective or style of the fund, common flows into a category, the quality of its holdings, stock characteristics correlated with media coverage, or direct attention generated by newspapers.
- **Main contribution.** The paper shows that investors do not merely chase fund returns. They also chase the past returns of *fund holdings*, but only when those holdings were recently visible in major newspapers.
- **Main mechanism.** Media coverage appears to raise the **salience** of particular holdings rather than help investors process valuable information about fund-manager skill.
- **Baseline design.** Regress quarterly fund flows on lagged market-adjusted returns of all holdings and lagged market-adjusted returns of media-covered holdings, controlling for fund returns, fund characteristics, Morningstar ratings, objective-quarter fixed effects, and style-quarter fixed effects.
- **Main baseline result.** A one-standard-deviation increase in market-adjusted returns of media-covered holdings, about **8.06%**, predicts an extra quarterly inflow of about **1.13% of fund assets**; for the average fund, this is roughly **$20.3 million**.
- **Key contrast.** Returns of holdings without media coverage have essentially no effect on flows once fund returns and controls are included.
- **Quantity result.** The effect is stronger for stocks receiving more newspaper coverage. When coverage is split by quartiles, the effect is concentrated in the top media-coverage quartile.
- **Timing result.** The effect is driven by media coverage in the most recent month and by fund flows *after* the holdings are publicly filed, not before the filing date.
- **Salience evidence.** The response is stronger when the firm's name appears in the article headline or lead paragraph, stronger for annual-report holdings, and stronger among funds with higher marketing fees.
- **Information-view evidence.** The paper finds little support for the idea that investors are learning useful information. Investors respond similarly to newly added holdings, even when the fund bought the stock after the stock's price already rose; media-covered holdings do not reliably predict future fund returns.
- **Window-dressing result.** Funds can attract flows by holding media-covered winners even when those holdings' returns overstate actual fund performance. This suggests that media coverage helps make window dressing effective.

- **Economic takeaway.** A richer media environment does not necessarily improve investor decision-making. Media coverage can amplify return chasing by making certain stocks more attention-grabbing inside fund portfolios.

2 Data and measurement (key objects)

2.1 Why fund holdings and media coverage are the right laboratory

- Mutual funds are widely held by households, so fund flows are a meaningful measure of retail capital allocation.
- Portfolio holdings are publicly disclosed and are a large, visible part of mutual fund reporting.
- Holdings are also easy for investors to misread: investors may see a fund holding a famous winner and infer that the manager created value, even if the fund bought the stock only after its price rose.
- Media coverage creates cross-sectional variation in which holdings are likely to be noticed by investors.

Interpretation. The key object is not media coverage of the mutual fund itself. It is media coverage of the *stocks held by the fund*.

2.2 Mutual fund sample

- The sample begins with the CRSP Mutual Fund Database from **January 1998 through December 2008**.
- The authors keep domestic, actively managed equity mutual funds.
- They exclude international funds, index funds, bond funds, balanced funds, precious-metal funds, and funds in other non-domestic-equity categories.
- They also remove observations likely to be problematic, such as funds with total net assets below **$5 million**, funds with missing names, portfolio snapshots with fewer than ten stocks, and observations before the fund starting year in CRSP.
- The final sample contains **1,731** open-end domestic equity funds.
- Combined assets under management were about **$1.7 trillion** in December 2008.

Interpretation. The paper focuses on active domestic equity funds because these funds choose stock portfolios, disclose holdings, and hold U.S. stocks that receive U.S. newspaper coverage.

2.3 Portfolio holdings data

- Holdings data come from Thomson Reuters, which compiles fund portfolio disclosures filed with the SEC.

- Since May 2004, funds must report holdings quarterly. Before that, they were required to report semiannually, although many voluntarily reported quarterly.
- The paper matches holdings to CRSP mutual fund data using the MFLINKS table.
- Multiple CRSP share classes are aggregated to the fund level using the `wficn` identifier.
- Total net assets are summed across share classes; returns and flows are averaged across share classes.
- The authors remove holdings observations that appear inconsistent, such as cases where a fund's reported shares exceed the stock's shares outstanding or where the value of the holding exceeds reported fund assets.

Interpretation. The object of interest is the fund-level portfolio snapshot visible to investors, not the accounting record of every share class.

2.4 Media coverage data

- Media coverage is measured using four widely circulated national newspapers:
  - *Wall Street Journal*,
  - *New York Times*,
  - *Washington Post*,
  - *USA Today*.
- The newspaper text is obtained from Factiva for 1998–2008.
- The sample contains about **1.7 million** articles.
- The article distribution is approximately **39%** *New York Times*, **35%** *USA Today*, **18%** *Wall Street Journal*, and **8%** *Washington Post*.
- Articles are matched to firms by searching for variations of the firm's name in the headline, lead paragraph, and tail paragraph.
- Media coverage is measured quarterly to align with holdings reports and common firm disclosure cycles.

Interpretation. The paper uses newspaper coverage as a proxy for what stocks are familiar or salient to retail mutual fund investors.

2.5 Fund flow measure

Quarterly fund flow is the percentage growth in fund assets that is not mechanically due to the fund's own return:

$$Flow_{i,t} = \frac{TNA_{i,t} - TNA_{i,t-1}(1 + R_{i,t})}{TNA_{i,t-1}}, \tag{1}$$

where $TNA_{i,t}$ is total net assets and $R_{i,t}$ is the fund return over the quarter.

Interpretation. This measure isolates investor capital moving into or out of the fund, rather than changes in assets caused by portfolio returns.

2.6 Holdings-return variables

For fund i, let $H_{i,t}$ be the set of holdings reported at the end of quarter t, and let $H^N_{i,t} \subseteq H_{i,t}$ be the subset of holdings that received newspaper coverage during that quarter.

The average market-adjusted return of all holdings is

$$HoldRetMkt_{i,t} = \frac{1}{N_{i,t}} \sum_{j \in H_{i,t}} (R_{j,t} - R_{M,t}). \tag{2}$$

The average market-adjusted return of media-covered holdings is

$$NewsHoldRetMkt_{i,t} = \frac{1}{K_{i,t}} \sum_{j \in H^N_{i,t}} (R_{j,t} - R_{M,t}). \tag{3}$$

Interpretation. $HoldRetMkt$ asks whether investors respond to the returns of the portfolio as disclosed. $NewsHoldRetMkt$ asks whether the response is especially strong for the subset of holdings investors are more likely to have seen in the press.

2.7 Other fund-level controls

The baseline specifications control for:

- trailing one-year market-adjusted fund return, $FundRetMkt$;
- squared fund return, $FundRetMktSq$, to capture convexity in the flow-performance relation;
- fraction of holdings with media coverage, $FracNews$;
- standard deviation of daily fund returns, $FundVolatility$;
- fund age;
- expense ratio;
- log total net assets;
- Morningstar rating dummies;
- investment-objective-quarter fixed effects;
- investment-style-quarter fixed effects.

Interpretation. These controls are meant to separate the effect of visible holdings from the standard determinants of mutual fund flows.

2.8 Descriptive facts

- The average fund has total net assets of about **$1.797 billion**; the median fund has about **$339 million**.
- Average annual turnover is about **89%**; the median is **70%**.
- Average market-adjusted annual return is **1.38%**; the median is **-1.17%**.
- Average quarterly capital flow is **6.94%**; the median is **-0.88%**.
- The average fund holds about **109** stocks; the median fund holds **72** stocks.
- The average return of all holdings is **2.17%** per quarter, and the average return of media-covered holdings is almost identical at **2.18%** per quarter.
- About **52.91%** of fund holdings receive media coverage.
- About **30.79%** of all CRSP stock-quarters have at least one article in the four newspapers.
- For stocks held by at least one fund, the comparable coverage rate is **36.06%**; for stocks held by at least ten funds, it is **45.28%**.

Interpretation. Media-covered holdings are common, but not universal. This gives the paper meaningful variation across funds and across holdings.

2.9 Window-dressing variables

The paper uses return gaps to detect whether reported holdings overstate actual fund performance.

The backward-looking return gap is based on end-of-quarter holdings:

$$RetGapBack_{i,t} = R_{i,t}^{Fund} - R_{i,t}^{Holdings,end}. \tag{4}$$

The forward-looking return gap is based on beginning-of-quarter holdings:

$$RetGapFwd_{i,t} = R_{i,t}^{Fund} - R_{i,t}^{Holdings,begin}. \tag{5}$$

Interpretation. If a fund buys recent winners just before the reporting date, the returns of the reported end-of-quarter holdings can look better than the return actually earned by the fund.

3 Models and empirical specifications (all equations + interpretation)

3.1 Conceptual framework: information versus salience

The paper contrasts two interpretations.

Information view. Media coverage reduces information costs. Investors use media-covered holdings to identify skilled managers who bought future winners before good news arrived or avoided losers before bad news arrived.

Salience view. Media coverage makes some holdings more familiar or attention-grabbing. Investors chase the returns of those visible holdings even when those returns are not informative about manager skill.

Empirical distinction. The information view predicts that investors should care about whether the fund actually captured the holding's return and whether the holding predicts future performance. The salience view predicts that investors respond to visible winners and losers regardless of informational content.

3.2 Baseline flow regression

The main quarterly regression is

$$\begin{aligned} Flow_{i,t} = \alpha &+ \beta_1 NewsHoldRetMkt_{i,t-1} + \beta_2 HoldRetMkt_{i,t-1} + \beta_3 FundRetMkt_{i,t-1} \quad (6)\\ &+ \beta_4 FundRetMktSq_{i,t-1} + \beta_5 FracNews_{i,t-1} + \beta_6 FundVolatility_{i,t-1} \quad (7)\\ &+ \beta_7 Age_{i,t-1} + \beta_8 ExpenseRatio_{i,t-1} + \beta_9 LogAssets_{i,t-1} \quad (8)\\ &+ \text{Morningstar FE}_{i,t-1} + \text{Objective-quarter FE}_{i,t} + \text{Style-quarter FE}_{i,t} + \varepsilon_{i,t}. \quad (9) \end{aligned}$$

Standard errors are clustered by fund and quarter.

Interpretation.

- β_2 measures whether the returns of all disclosed holdings affect flows.
- β_1 measures the incremental effect of returns on holdings that received media coverage.
- The central prediction of the paper is $\beta_1 > 0$: investors reward funds holding media-covered winners and punish funds holding media-covered losers.

3.3 Why controlling for fund returns is critical

The regression includes the fund's own market-adjusted return over the trailing year:

$$FundRetMkt_{i,t-1} = R^{Fund}_{i,t-1} - R^{Market}_{t-1}. \quad (10)$$

Interpretation. A fund holding recent winners may also have high fund returns. The paper needs to show that investors react to the *reported portfolio holdings*, not only to the fund's own realized performance.

3.4 Quantity of media coverage and return direction

The paper splits media-covered holdings by the intensity of coverage.

For a median split, the regression replaces $NewsHoldRetMkt$ with:

$$NewsAboveMedHoldRetMkt, \qquad NewsBelowMedHoldRetMkt. \tag{11}$$

For a quartile split, the regression uses:

$$News25PctHoldRetMkt, News50PctHoldRetMkt, News75PctHoldRetMkt, News100PctHoldRetMkt. \tag{12}$$

To study positive versus negative returns, the paper defines

$$NewsHoldRetMktNeg_{i,t} = \begin{cases} NewsHoldRetMkt_{i,t}, & \text{if } NewsHoldRetMkt_{i,t} < 0, \\ 0, & \text{otherwise.} \end{cases} \tag{13}$$

Interpretation. If media coverage works through attention, stronger media exposure should produce a stronger flow response. The sign-split asks whether the effect is mostly investors rewarding visible winners or punishing visible losers.

3.5 Controls for firm characteristics correlated with media coverage

Media coverage is correlated with firm size, analyst coverage, book-to-market, and momentum. The paper constructs analogues of $NewsHoldRetMkt$ for holdings with high values of these characteristics:

$$MktCapHoldRetMkt, \quad NumAnHoldRetMkt, \quad BMHoldRetMkt, \quad MomHoldRetMkt. \tag{14}$$

Interpretation. These tests ask whether the media effect is really a large-firm effect, analyst-coverage effect, value-stock effect, or momentum effect.

3.6 Timing of media coverage

To test whether recent media visibility matters more, the paper separates media coverage by month within the reporting quarter:

$$NewsMth1HoldRetMkt, \quad NewsMth2HoldRetMkt, \quad NewsMth3HoldRetMkt. \tag{15}$$

Interpretation. The salience story predicts that the most recent news should matter most because investor attention fades. The information story also predicts some recency, but for a different reason: recent articles may be more informative.

3.7 Tone of newspaper coverage

The paper also measures article tone using the Loughran–McDonald financial dictionary:

$$Tone_a = \frac{\#PositiveWords_a - \#NegativeWords_a}{\#TotalWords_a}. \tag{16}$$

The fund-level tone measure, $AvgTonePctile$, is the fund's percentile rank based on the average tone of media coverage of its holdings.

Interpretation. The authors primarily infer good or bad news from stock returns rather than from text tone, because returns incorporate how the market interpreted the news relative to expectations. The tone test is a complementary robustness check.

3.8 Timing of holdings disclosure

Holdings are disclosed periodically, while many other fund characteristics are observable daily. The paper uses fund filing dates to split the subsequent quarter into:

- the period **before** the holdings filing date;
- the period **after** the holdings filing date.

The dependent variable becomes daily-scaled flow:

$$FlowPerDay_{i,t,s} = \frac{Flow_{i,t,s}}{\#TradingDays_{i,t,s}}, \tag{17}$$

where s denotes the before-filing or after-filing subperiod.

Interpretation. If media-covered holdings matter because investors observe the disclosed portfolio, the effect should appear only after the filing becomes public.

3.9 Salience and investor-sophistication interactions

The paper estimates regressions that interact $NewsHoldRetMkt$ with salience and sophistication proxies:

$$\begin{aligned}
Flow_{i,t} = {} & \cdots + \delta_1(NewsHoldRetMkt_{i,t-1} \times Turnover_{i,t-1}) && (18)\\
& + \delta_2 NewsHeadHoldRetMkt_{i,t-1} && (19)\\
& + \delta_3(NewsHoldRetMkt_{i,t-1} \times YearEndFiling_{i,t-1}) && (20)\\
& + \delta_4(NewsHoldRetMkt_{i,t-1} \times MarketingFees_{i,t-1}) + \varepsilon_{i,t}. && (21)
\end{aligned}$$

Interpretation.

- $Turnover$ proxies for how informative stale holdings are about the fund's current strategy.
- $NewsHeadHoldRetMkt$ captures holdings whose firm name appears prominently in an article

headline or lead paragraph.

- $YearEndFiling$ captures annual-report holdings, which are especially salient.
- $MarketingFees$ proxies for broker-channel or less sophisticated investor clientele.

3.10 Newly added holdings

To ask whether investors distinguish between old and new holdings, the paper adds:

$$AddedHoldRetMkt_{i,t}, \qquad NewsAddedHoldRetMkt_{i,t}. \tag{22}$$

These variables capture the differential effect of holdings added to the fund portfolio in the trailing reporting period.

Interpretation. If a fund buys a stock after it already rose, the stock's past return is less informative about manager skill. The information view predicts investors should discount such holdings. The salience view predicts no meaningful discount.

3.11 Do media-covered holdings predict future fund returns?

The paper estimates predictive return regressions of the form

$$R_{i,t+1}^{Fund,MktAdj} = \alpha + \gamma_1 NewsHoldRetMkt_{i,t} + \gamma_2 HoldRetMkt_{i,t} + \Gamma' X_{i,t} + \varepsilon_{i,t+1}. \tag{23}$$

It also forms calendar-time portfolios sorted on $NewsHoldRetMkt$ and estimates factor models:

$$R_{p,t} = \alpha_p + b_M MKT_t + b_S SMB_t + b_H HML_t + b_U UMD_t + \varepsilon_{p,t}. \tag{24}$$

Interpretation. If investors chase media-covered winners because these holdings reveal skill or profitable momentum, funds with high $NewsHoldRetMkt$ should earn higher future risk-adjusted returns.

3.12 Window-dressing regressions

The paper tests whether the flow response depends on return gaps:

$$\begin{aligned} Flow_{i,t} = {} & \cdots + \theta_1 NewsHoldRetMkt_{i,t-1} + \theta_2 HoldRetMkt_{i,t-1} && (25) \\ & + \theta_3 (NewsHoldRetMkt_{i,t-1} \times RetGap_{i,t-1}) && (26) \\ & + \theta_4 (HoldRetMkt_{i,t-1} \times RetGap_{i,t-1}) + \varepsilon_{i,t}. && (27) \end{aligned}$$

The paper runs this with both $RetGapFwd$ and $RetGapBack$.

Interpretation. If investors detect window dressing, the effect of media-covered holdings should weaken when the return gap suggests the holdings did not represent actual fund performance.

4 Identification and empirical design (what makes the estimates credible)

4.1 What identifies the baseline effect

The core comparison is between funds whose disclosed holdings have similar overall returns but differ in whether the high-return or low-return stocks were recently covered in the press.

The estimate is not simply a comparison of high-return funds versus low-return funds, because the baseline regression controls for:

- fund returns;
- fund volatility;
- age, size, and expenses;
- Morningstar ratings;
- investment objective by quarter;
- style by quarter.

Interpretation. The paper asks whether media-visible holdings affect flows over and above the usual performance-flow relation.

4.2 Why disclosure timing is especially important

The cleanest evidence comes from filing-date timing.

- Before the holdings filing date, investors can already observe many fund characteristics such as returns, volatility, and assets.
- After the filing date, investors can observe the portfolio holdings.
- The paper finds no relation between $NewsHoldRetMkt$ and flows before the filing date.
- The relation becomes strong after the filing date.

Interpretation. This timing pattern is difficult to explain using other fund characteristics that are already public before the holdings disclosure.

4.3 Why correlated stock characteristics are unlikely to explain the results

Media-covered firms tend to be larger, more followed by analysts, and different in other characteristics. The paper addresses this by creating parallel holding-return variables for:

- high market capitalization;

- high analyst coverage;
- high book-to-market;
- high momentum.

These variables do not explain away the media effect.

Interpretation. The evidence suggests that it is the newspaper visibility of holdings, not merely the type of stock being held, that matters for flows.

4.4 Why fund-level media coverage is not the main channel

One alternative is that newspapers are actually covering the mutual fund, not the portfolio company.

The authors address this by identifying articles containing “fund” or related words. These articles account for only about **2%** of the article sample, and excluding them has no material effect on the results.

Interpretation. The mechanism is media coverage of portfolio stocks, not publicity about the fund manager or fund itself.

4.5 Why the paper favors salience over information

Several results point toward salience:

- The effect is stronger when the company is named in the headline or lead paragraph.
- The effect is stronger for year-end filings in annual reports.
- The effect is stronger for funds with higher marketing fees.
- Investors do not discount newly added holdings.
- Media-covered holding returns do not reliably predict future fund returns.
- Investors respond to holdings even when return gaps suggest possible window dressing.

Interpretation. Investors appear to react to the presence of familiar winners in a disclosed portfolio rather than to careful information about the manager’s trades.

4.6 What the paper can and cannot claim

- The paper can show that media-covered holdings predict subsequent fund flows conditional on detailed controls.
- The timing around holdings filings strengthens the interpretation that disclosed holdings matter.
- The paper cannot observe each investor’s exact information set or whether a specific investor read a particular article.

- The paper cannot fully rule out every possible unobserved factor correlated with media coverage, but the timing, fixed effects, and correlated-characteristic tests substantially narrow the plausible alternatives.

Interpretation. The empirical design is strongest at showing that media visibility changes how investors respond to holdings disclosures; it is less suited to measuring the psychology of individual investors directly.

5 Tables and empirical results

5.1 Table 1: Summary statistics

Read:

- The sample contains **1,731** open-end domestic equity funds from 1998 to 2008.
- Average fund TNA is **$1.797 billion**; median TNA is **$339 million**.
- Average quarterly flow is **6.94%**; median flow is **-0.88%**, indicating a skewed distribution.
- The average fund holds about **109** stocks.
- The average return of media-covered holdings, **2.18%**, is very close to the average return of all holdings, **2.17%**.
- About **52.91%** of fund holdings receive media coverage.

Economic message. Media-covered holdings are not mechanically better-performing holdings in the summary statistics. The main result is therefore about visibility and investor response, not a simple difference in average holding returns.

5.2 Table 2: Effect of media-covered holdings on fund flows

Read:

- In Panel A, $NewsHoldRetMkt$ is positive and significant across specifications.
- With all controls and fixed effects, the coefficient on $NewsHoldRetMkt$ is **0.131** and statistically significant.
- In the same specification, $HoldRetMkt$ is only **0.009** and insignificant.
- A one-standard-deviation increase in media-covered holdings' returns predicts about **1.13%** higher quarterly fund flows.
- This effect is about **21.2%** as large as the effect of a one-standard-deviation increase in the fund's own return.
- Panel B shows that the effect is larger for holdings with more media coverage and is concentrated in the highest-coverage group.

Table 1
Summary statistics.
This table shows summary statistics for the main sample of 1,731 open-end domestic equity funds. The sample period is from January 1998 to December 2008. Media coverage refers to articles about the company in the *Wall Street Journal*, the *New York Times*, the *Washington Post*, or *USA Today* over the quarter for which the holdings are reported.

Characteristics	Mean	25th percentile	Median	75th percentile	Standard deviation
Panel A: Mutual funds					
Total net assets (millions of dollars)	1,797	97	339	1,169	6,247
Turnover (percent per annum)	89.12	38.00	70.00	115.00	82.17
Market-adjusted return (percent per annum)	1.38	−7.02	−1.17	6.53	16.51
Expense ratio (percent per annum)	1.41	1.11	1.40	1.66	0.47
Capital flow (percent per quarter)	6.94	−4.57	−0.88	5.13	41.70
Fund age (years)	16.42	7.92	12.17	18.75	13.93
Panel B: Fund holdings					
Number of stocks held	108.81	48.00	72.00	110.00	169.05
Holdings return (percent per quarter)	2.17	−1.46	1.22	4.85	7.43
Media-covered holdings return (percent per quarter)	2.18	−1.69	1.21	4.99	8.06
Percent of holdings with media coverage	52.91	37.00	56.10	69.44	19.78
Backward-looking return gap (percent per quarter)	−0.46	−1.43	−0.16	0.86	3.98
Forward-looking return gap (percent per quarter)	0.04	−0.99	−0.03	0.92	4.69
Panel C: Media coverage					
Percent of stock-quarters with any article:					
All stocks	30.79				
Stocks held by at least one fund	36.06				
Stocks held by at least ten funds	45.28				
Media articles per quarter:					
All stocks	4.10	0	0	1	37.53
Stocks held by at least one fund	5.16	0	0	2	45.05
Stocks held by at least ten funds	7.11	0	0	2	53.77
Articles per quarter, given at least one article:					
All stocks	13.33	1	3	7	66.73
Stocks held by at least one fund	14.30	1	3	8	74.15
Stocks held by at least ten funds	15.86	1	3	8	79.58

Table 2
Effect of media-covered holdings on mutual fund flows.
This table presents ordinary least squares regressions of quarterly fund flows on the trailing returns of fund holdings. The dependent variable is quarterly fund flow (*Flow*). Panel A examines the effect of holdings' media coverage on fund flows. *HoldRetMkt* is the average return of fund holdings over the quarter for which the holdings are reported, minus the Center for Research in Security Prices value-weighted market return over the same period. *NewsHoldRetMkt* is the average market-adjusted holdings' return (computed analogously to *HoldRetMkt*) for holdings that received media coverage during the quarter in the *Wall Street Journal*, the *New York Times*, the *Washington Post*, or *USA Today*. *FracNews* is the fraction of the fund's holdings that received media coverage in the aforementioned newspapers over the quarter. *FundRetMkt* is the market-adjusted fund return over the trailing year. *FundRetMktSq* is the square of the market-adjusted fund return over the trailing year. *FundVolatility* is the standard deviation of daily fund returns, *Age* is fund age since inception, and *LogAssets* is the log of the fund's total net assets. Morningstar rating FE is the set of dummies for the fund's Morningstar rating (*MStar-dum*). *Objective-qtr FE* and *Style-qtr FE* denote fixed effects for the fund's investment objective category and investment style, respectively, which are specific to each quarter (*IOC-qtr-dum* and *Style-qtr-dum*). In Panel B, the returns of media-covered holdings are split according to the level of media coverage. The cutoffs are based on the stocks with at least one media article during the quarter. Cutoff points divide the sample at the median in Columns 1 and 2 and into quartiles in Columns 3 and 4. In quartile definitions, *100Pct* indicates the quartile with the highest media coverage. *HoldRetMktNeg* equals *HoldRetMkt* when this variable is negative and zero otherwise. *NewsHoldRetMktNeg* equals *NewsHoldRetMkt* when this variable is negative and zero otherwise. Controls include the same control variables as in Panel A. Variable definitions appear in Table A1. Reported *t*-statistics [in brackets] are based on standard errors clustered by fund and quarter. Significance levels at 10%, 5%, and 1% are indicated by *, **, and ***, respectively.

Panel A: Effect of any media

	Dependent variable = quarterly fund flow (*Flow*)				
Variable	(1)	(2)	(3)	(4)	(5)
NewsHoldRetMkt	0.314***	0.348***	0.309***	0.296***	0.131***
	[2.62]	[3.35]	[3.02]	[3.17]	[2.82]
HoldRetMkt	0.170*	−0.147	−0.111	−0.103	0.009
	[1.66]	[−1.40]	[−1.04]	[−1.10]	[0.13]
FracNews	0.031	0.054**	0.049**	0.056***	0.001
	[1.38]	[2.43]	[2.37]	[2.68]	[0.03]
FundRetMkt		0.291***	0.263***	0.237***	0.323***
		[6.41]	[7.31]	[6.72]	[8.16]
FundRetMktSq			0.096	0.095	−0.070
			[0.86]	[0.88]	[−0.70]
FundVolatility			−0.918*	−0.855*	0.411
			[−1.84]	[−1.89]	[0.46]
Age			−0.304	0.022	0.372
			[−1.24]	[0.09]	[1.40]
LogAssets			0.014***	0.011***	0.012***
			[5.16]	[4.21]	[4.59]
ExpenseRatio			2.795***	3.397***	3.304***
			[3.56]	[4.26]	[4.33]
Morningstar rating FE	No	No	No	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	No	No	No	No	Yes
R^2	0.008	0.019	0.022	0.027	0.047
Number of observations	51,219	51,006	50,769	50,769	49,200

Panel B: Quantity of media coverage and return direction

	Dependent variable = quarterly fund flow (*Flow*)				
Variable	(1)	(2)	(3)	(4)	(5)
NewsBelowMedHoldRetMkt	0.019	0.013			
	[0.54]	[0.43]			
NewsAboveMedHoldRetMkt	0.160***	0.080***			
	[3.90]	[2.81]			
News25PctHoldRetMkt			−0.002	0.007	
			[−0.12]	[0.42]	
News50PctHoldRetMkt			0.024	0.015	
			[0.94]	[0.60]	
News75PctHoldRetMkt			−0.029	−0.015	
			[−1.64]	[−0.76]	
News100PctHoldRetMkt			0.135***	0.065**	
			[3.66]	[2.42]	
HoldRetMkt	0.021	0.050	0.079	0.074	0.033
	[0.32]	[0.82]	[1.18]	[1.02]	[0.38]
HoldRetMktNeg					−0.092
					[−0.60]
NewsHoldRetMkt					0.164**
					[2.30]
NewsHoldRetMktNeg					−0.110
					[−0.90]
Controls, Morningstar rating FE	Yes	Yes	Yes	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	No	Yes	No	Yes	Yes
R^2	0.027	0.047	0.027	0.047	0.047
Number of observations	50,779	49,209	50,779	49,209	49,200

- The positive-return effect appears larger than the negative-return effect, suggesting that funds are rewarded more for visible winners than punished for visible losers.

Economic message. Investors chase the past returns of holdings only when those holdings are visible in the media. The fund's own return is not the entire story.

5.3 Table 3: Variables correlated with media coverage

Read:

- The paper adds variables for high-market-cap holdings, high-analyst-coverage holdings, high-book-to-market holdings, and high-momentum holdings.
- These variables are not significant predictors of flows.
- The coefficient on $NewsHoldRetMkt$ remains positive and significant, ranging around **0.116 to 0.156** depending on the specification.

Economic message. The media effect is not simply a large-stock, analyst-coverage, value, or momentum effect.

5.4 Table 4: Timing of media coverage and holdings disclosure

Read:

Table 3
Effect of variables correlated with media coverage.

This table examines whether stock characteristics other than media coverage affect the relation between holdings' returns and fund flows, using ordinary least squares regressions of quarterly fund flows on the trailing returns of fund holdings. The dependent variable is quarterly fund flow (*Flow*). The main independent variable is *NewsHoldRetMkt*, defined as the average market-adjusted return of media-covered fund holdings in the quarter for which the holdings are reported. Market-adjusted returns are computed by subtracting the returns on the Center for Research in Security Prices value-weighted index. Other variables include the returns of holdings that were above the NYSE median of market capitalization (*MktCapHoldRetMkt*), above the median of analyst coverage (*NumAnHoldRetMkt*), above the median of book-to-market ratio (*BMHoldRetMkt*), and above the median of momentum (*MomHoldRetMkt*). Controls include market-adjusted fund returns over the trailing year, squared market-adjusted fund returns over the trailing year, volatility of daily fund returns, fund age, expense ratio, fraction of holdings with media coverage, and log assets. All regressions include dummies for a fund's Morningstar rating, investment style-quarter fixed effects, and investment objective-quarter fixed effects. Variable definitions appear in Table A1. Reported t-statistics [in brackets] are based on standard errors clustered by fund and quarter. Significance levels at 10%, 5%, and 1% are indicated by *, ** and ***, respectively.

	Dependent variable=quarterly fund flow (*Flow*)				
Variable	(1)	(2)	(3)	(4)	(5)
NewsHoldRetMkt	0.135***	0.156**	0.131***	0.116**	0.139**
	[2.87]	[2.56]	[2.84]	[2.42]	[2.53]
HoldRetMkt	0.008	0.138	−0.048	0.019	0.050
	[0.08]	[1.18]	[−0.57]	[0.20]	[0.34]
MktCapHoldRetMkt	−0.004				0.001
	[−0.06]				[0.01]
NumAnHoldRetMkt		−0.169			−0.128
		[−1.21]			[−1.03]
BMHoldRetMkt			0.067		0.073
			[1.09]		[1.09]
MomHoldRetMkt				−0.001	−0.002
				[−0.04]	[−0.07]
Controls, Morningstar rating FE	Yes	Yes	Yes	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	Yes	Yes	Yes	Yes	Yes
R^2	0.047	0.047	0.047	0.046	0.046
Number of observations	49,124	49,186	49,189	47,793	47,698

Table 4
The timing of media coverage and holdings' disclosure.

This table examines how the timing of holdings' media coverage and the timing of holdings' disclosure affect fund flows. Panel A examines how the timing and tone of media coverage affect the relation between holdings' returns and fund flows, using ordinary least squares regressions of quarterly fund flows on the trailing returns of fund holdings. The dependent variable is quarterly fund flow (*Flow*). The independent variables of interest include *NewsMth1HoldRetMkt*, *NewsMth2HoldRetMkt*, and *NewsMth3HoldRetMkt*, which indicate the returns of fund holdings that received media coverage in the month immediately before the period of fund flows, in the month ending one month before the period of fund flows, and in the month ending two months before the period of fund flows, respectively. *AvgTonePctile* measures the fund's percentile rank in the quarter according to the tone of media coverage of its holdings. The tone of media coverage is measured by the difference between the number of positive and negative words in an article, divided by the total number of words. Panel B examines the relation between holdings' returns and fund flows during the parts of the quarter before the holdings' filing date (Column 1) and after the holdings' filing date (Column 2). The dependent variable in Panel B is a flow per day measure (*FlowPerDay*), constructed by dividing cumulative fund flows during each part of the quarter by the number of trading days in the respective part of the quarter, which is specific to a fund-quarter pair. The main independent variable of interest is *NewsHoldRetMkt*, defined as the average market-adjusted return of media-covered fund holdings in the quarter for which the holdings are reported. Market-adjusted returns are computed by subtracting the returns on the Center for Research in Security Prices value-weighted index. Controls include market-adjusted fund returns over the trailing year, squared market-adjusted fund returns over the trailing year, volatility of daily fund returns, fund age, expense ratio, fraction of holdings with media coverage, and log assets. All regressions, except in Column 5, include dummies for a fund's Morningstar rating, investment style-quarter fixed effects, and investment objective-quarter fixed effects. Variable definitions appear in Table A1. Reported t-statistics [in brackets] are based on standard errors clustered by fund and quarter. Significance levels at 10%, 5%, and 1% are indicated by *, ** and ***, respectively.

Panel A: Timing and content of media coverage

	Dependent variable=quarterly fund flow (*Flow*)						
Variable	(1)	(2)	(3)	(4)	(5)	(6)	(7)
NewsMth1HoldRetMkt	0.131**			0.151*			
	[2.47]			[1.72]			
NewsMth2HoldRetMkt		0.000		−0.084			
		[0.00]		[−1.21]			
NewsMth3HoldRetMkt			0.060	0.034			
			[1.09]	[0.48]			
AvgTonePctile					0.091**	0.067	0.054
					[2.13]	[1.61]	[1.30]
HoldRetMkt	0.007	0.146*	0.084	0.038			0.008
	[0.10]	[1.73]	[1.00]	[0.46]			[0.13]
NewsHoldRetMkt							0.126***
							[2.68]
Controls, Morningstar rating FE	Yes	Yes	Yes	Yes	No	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	Yes	Yes	Yes	Yes	No	Yes	Yes
R^2	0.047	0.047	0.047	0.047	0.001	0.046	0.047
Number of observations	49,171	49,169	49,169	49,121	51,229	49,209	49,200

Panel B: Timing of holdings' disclosure

Variable	Dependent variable=fund capital flow per day (*FlowPerDay*)	
	Daily flows before holdings' filing date (1)	Daily flows after holdings' filing date (2)
NewsHoldRetMkt	0.00196	0.00534***
	[0.91]	[2.71]
HoldRetMkt	−0.00273	−0.00212
	[−1.11]	[−0.95]
FracNews	−0.00035	−0.00031
	[−0.48]	[−0.44]
FundRetMkt	0.00603***	0.00421***
	[6.01]	[6.38]
FundRetMktSq	−0.00311	−0.00116
	[−1.49]	[−0.86]
FundVolatility	−0.01607	0.01691
	[−0.57]	[0.91]
Age	−0.00014	−0.00040
	[−0.03]	[−0.07]
LogAssets	0.00016***	0.00009**
	[2.98]	[2.17]
ExpenseRatio	0.05576***	0.01944
	[3.74]	[1.01]
Morningstar rating FE	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	Yes	Yes
R^2	0.062	0.056
Number of observations	13,414	15,406

- Panel A shows that the effect is driven by media coverage in the most recent month of the reporting period.
- Older coverage has weaker and insignificant effects.
- The text-tone measure is directionally consistent but weaker than the return-based measure.
- Panel B splits flows around the holdings filing date.
- Before the filing date, $NewsHoldRetMkt$ does not significantly predict flows.
- After the filing date, $NewsHoldRetMkt$ is positive, significant, and economically large.
- The after-filing daily-flow coefficient is about **0.00534**; multiplied by 63 trading days, this is about **0.336**, much larger than the average full-quarter coefficient.

Economic message. Investors respond when the holdings become public. This makes the disclosure-based interpretation much more credible.

5.5 Table 5: Informativeness, salience, and investor sophistication

Read:

- Interactions with turnover are insignificant, so the response does not weaken for high-turnover funds whose stale holdings are less informative.

- $NewsHeadHoldRetMkt$ is positive and significant: articles that name the firm in the headline or lead paragraph matter more.
- The interaction with $YearEndFiling$ is positive and significant at about the 10% level, meaning annual-report holdings have a stronger effect.
- The interaction with $MarketingFees$ is positive and significant at about the 10% level.
- A one-standard-deviation increase in marketing fees raises the media-covered-holdings coefficient by about **0.252**, nearly doubling the baseline effect.

Economic message. The response is stronger when holdings are more salient and when the investor clientele is likely to be less sophisticated. That is hard to reconcile with a purely information-processing story.

Table 5
Effect of measures of holdings' informativeness and salience.

This table presents the interactions of holdings' returns with measures of holdings' informativeness and salience. The table shows ordinary least squares regressions of quarterly fund flows on the trailing returns of fund holdings. The dependent variable is quarterly fund flow (*Flow*). Informativeness is measured by fund turnover (*Turnover*). Attention and salience are measured by the end-of-year filings that appear in the fund's annual report (*YearEndFiling*) and market-adjusted returns of holdings mentioned in the article headline or lead paragraph (*NewsHeadHoldRetMkt*). *YearEndFiling* is a binary indicator that equals one for the fourth-quarter filings that coincide with a fund's fiscal year-end. Investor sophistication is measured by the fund's marketing fees (*MarketingFees*), defined as the amount of 12b-1 fees expressed as a fraction of the fund's expense ratio. Controls include market-adjusted fund returns over the trailing year, squared market-adjusted fund returns over the trailing year, volatility of daily fund returns, fund age, expense ratio, fraction of holdings with media coverage, and log assets. All regressions include dummies for a fund's Morningstar rating, investment style-quarter fixed effects, and investment objective-quarter fixed effects. Variable definitions appear in Table A1. Reported *t*-statistics [in brackets] are based on standard errors clustered by fund and quarter. Significance levels at 10%, 5%, and 1% are indicated by *, ** and ***, respectively.

	Dependent variable = quarterly fund flow (*Flow*)			
Variable	(1)	(2)	(3)	(4)
NewsHoldRetMkt	0.152	0.034	0.200**	−0.411
	[1.29]	[0.53]	[2.17]	[−1.26]
HoldRetMkt	−0.087	0.014	−0.025	0.462
	[−0.58]	[0.20]	[−0.22]	[1.39]
NewsHoldRetMkt∗Turnover	−0.056			
	[−0.27]			
HoldRetMkt∗Turnover	0.156			
	[0.70]			
NewsHeadHoldRetMkt		0.094**		
		[2.05]		
NewsHoldRetMkt∗YearEndFiling			0.427*	
			[1.95]	
HoldRetMkt∗YearEndFiling			−0.145	
			[−0.58]	
NewsHoldRetMkt∗MarketingFees				1.737*
				[1.73]
HoldRetMkt∗MarketingFees				−1.408
				[−1.35]
Controls, Morningstar rating FE	Yes	Yes	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	Yes	Yes	Yes	Yes
R^2	0.045	0.047	0.029	0.048
Number of observations	47,863	48,234	49,200	42,324

Table 6
Media coverage and investors' reaction to new and old holdings.

This table examines whether investors' response to fund holdings is different for new holdings that were added to the portfolio in the trailing reporting period, as compared with all portfolio holdings. The dependent variable is quarterly fund flow (*Flow*). The main independent variables of interest are the variables *AddedHoldRetMkt* and *NewsAddedHoldRetMkt*, which capture the differential effect of returns for new holdings that were added to the fund portfolio in the trailing reporting period, over and above the effect of returns for all portfolio holdings. *AddedHoldRetMkt* is the average market-adjusted return of the new fund holdings that were added to the fund portfolio in the trailing reporting period. *NewsAddedHoldRetMkt* is the average market-adjusted return of the new fund holdings that were added to the fund portfolio in the trailing reporting period and received media coverage during the trailing quarter in the *Wall Street Journal*, the *New York Times*, the *Washington Post*, or *USA Today*. Controls include market-adjusted fund returns over the trailing year, squared market-adjusted fund returns over the trailing year, volatility of daily fund returns, fund age, expense ratio, fraction of holdings with media coverage, and log assets. Morningstar rating FE is the set of dummies for the fund's Morningstar rating. *Objective-qtr FE* and *Style-qtr FE* denote fixed effects for the fund's investment objective category and investment style, respectively, which are specific to each quarter. Variable definitions appear in Table A1. Reported *t*-statistics [in brackets] are based on standard errors clustered by fund and quarter. Significance levels at 10%, 5%, and 1% are indicated by *, ** and ***, respectively.

	Dependent variable = quarterly fund flow (*Flow*)		
Variable	(1)	(2)	(3)
NewsHoldRetMkt	0.359***	0.349***	0.166**
	[2.74]	[2.81]	[2.00]
HoldRetMkt	−0.133	−0.131	0.006
	[−0.88]	[−0.95]	[0.07]
NewsAddedHoldRetMkt	−0.051	−0.050	−0.042
	[−1.36]	[−1.32]	[−1.02]
AddedHoldRetMkt	0.029	0.028	0.002
	[0.59]	[0.58]	[0.05]
Controls	Yes	Yes	Yes
Morningstar rating FE	No	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	No	No	Yes
R^2	0.022	0.027	0.047
Number of observations	47,935	47,935	46,997

5.6 Table 6: New versus old holdings

Read:

- $NewsAddedHoldRetMkt$ captures the differential response to media-covered holdings newly added to the portfolio.
- The coefficient on $NewsAddedHoldRetMkt$ is negative but insignificant across specifications.
- Investors respond similarly to media-covered holdings whether they were already in the portfolio or recently added.

Economic message. Investors do not appear to ask whether the manager actually owned the winner before it appreciated. They respond to the visible winner in the disclosed holdings list.

5.7 Table 7: Do media-covered holdings predict future fund returns?

Table 7

Effect of media-covered holdings on fund returns.

This table examines whether the returns of media-covered fund holdings predict future fund returns. Panel A presents ordinary least squares regressions of quarterly market-adjusted fund returns on the trailing returns of fund holdings. *NewsHoldRetMkt* is the average quarterly return of fund holdings that received media coverage, minus the Center for Research in Security Prices value-weighted return over the same period (i.e., one period before the fund returns). Morningstar rating FE is the set of dummies for the fund's Morningstar rating. *Objective-qtr FE* and *Style-qtr FE* denote fixed effects for the fund's objective category and investment style, respectively, which are specific to each quarter. Variable definitions appear in Table A1. Panel B shows the results of the portfolio analysis. We form quintile and decile calendar time portfolios of funds sorted on the returns of their media-covered holdings. We also consider long-short portfolios between the top and bottom quintiles and the top and bottom deciles. Excess portfolio returns are regressed on the market, size, book-to-market, and momentum factors [MKT (market return), SMB (small minus big), HML (high minus low), and UMD (up minus down)]. Reported in brackets are *t*-statistics. In Panel A, standard errors are clustered by fund and quarter. Significance levels at 10%, 5%, and 1% are indicated by *, ** and ***, respectively.

Panel A: Media-covered holdings and future fund returns

Variable	Dependent variable = market-adjusted fund return next quarter				
	(1)	(2)	(3)	(4)	(5)
NewsHoldRetMkt	0.085*	0.087*	0.077	0.076	0.025
	[1.93]	[1.93]	[1.61]	[1.61]	[0.87]
HoldRetMkt	0.013	−0.010	−0.005	−0.006	0.033
	[0.15]	[−0.11]	[−0.05]	[−0.06]	[0.54]
FracNews	−0.052***	−0.051***	−0.052***	−0.052***	−0.017*
	[−3.75]	[−3.32]	[−3.62]	[−3.67]	[−1.70]
FundRetMkt		0.022	0.023	0.027	0.043
		[0.49]	[0.46]	[0.54]	[0.93]
FundRetMktSq			0.012	0.006	−0.049
			[0.21]	[0.10]	[−1.29]
FundVolatility			−0.616	−0.631	−1.655
			[−0.97]	[−0.98]	[−1.40]
Age			0.002	0.016	0.011
			[0.03]	[0.33]	[0.78]
LogAssets			−0.002**	−0.002**	−0.001*
			[−2.38]	[−2.16]	[−1.72]
ExpenseRatio			−0.463	−0.514	−0.259
			[−1.45]	[−1.64]	[−1.48]
Morningstar rating FE	No	No	No	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	No	No	No	No	Yes
R^2	0.037	0.040	0.047	0.050	0.358
Number of observations	51,236	51,023	50,785	50,785	49,216

Panel B: Calendar time portfolios sorted on returns of media-covered holdings

Portfolio	Three-factor alpha	Four-factor alpha	Analysis of portfolio returns					
			MKT	SMB	HML	UMD	R^2	N
Decile 10 (highest)	0.056	−0.079	1.050***	0.552***	0.020	0.290***	0.881	120
	[0.22]	[−0.38]	[22.07]	[9.66]	[0.35]	[7.97]		
Decile 9	0.002	−0.089	1.012***	0.381***	0.075**	0.194***	0.931	120
	[0.01]	[−0.66]	[32.46]	[10.16]	[1.98]	[8.15]		
Decile 8	0.030	−0.023	0.954***	0.246***	0.101***	0.115***	0.944	120
	[0.25]	[−0.22]	[38.15]	[8.19]	[3.29]	[6.02]		
Decile 7	−0.075	−0.107	0.954***	0.120***	0.113***	0.068***	0.975	120
	[−0.98]	[−1.55]	[60.03]	[6.30]	[5.82]	[5.59]		
Decile 6	0.001	−0.009	0.934***	0.072***	0.114***	0.021*	0.979	120
	[0.01]	[−0.16]	[66.64]	[4.30]	[6.64]	[1.93]		
Decile 5	−0.023	−0.015	0.928***	−0.005	0.086***	−0.016	0.981	120
	[−0.40]	[−0.27]	[69.72]	[−0.29]	[5.28]	[−1.58]		
Decile 4	−0.052	−0.028	0.927***	0.003	0.092***	−0.051***	0.978	120
	[−0.76]	[−0.45]	[63.74]	[0.16]	[5.16]	[−4.57]		
Decile 3	0.002	0.046	0.939***	−0.028	0.067**	−0.095***	0.954	120
	[0.02]	[0.48]	[41.98]	[−1.05]	[2.46]	[−5.54]		
Decile 2	−0.034	0.031	0.954***	−0.045	0.090***	−0.140***	0.933	120
	[−0.24]	[0.26]	[33.85]	[−1.34]	[2.60]	[−6.51]		
Decile 1 (lowest)	0.009	0.105	1.033***	0.020	−0.012	−0.208***	0.893	120
	[0.04]	[0.58]	[24.81]	[0.40]	[−0.23]	[−6.51]		
Decile 10 − Decile 1	0.048	−0.184	0.017	0.532***	0.032	0.498***	0.547	120
	[0.11]	[−0.54]	[0.22]	[5.64]	[0.33]	[8.28]		

Table 7 (*continued*)

Panel B: Calendar time portfolios sorted on returns of media-covered holdings

Portfolio	Three-factor alpha	Four-factor alpha	Analysis of portfolio returns					
			MKT	SMB	HML	UMD	R^2	N
Quintile 5 (highest)	0.029	−0.084	1.031***	0.467***	0.048	0.242***	0.909	120
	[0.14]	[−0.51]	[26.84]	[10.11]	[1.02]	[8.25]		
Quintile 4	−0.022	−0.065	0.954***	0.183***	0.107***	0.092***	0.963	120
	[−0.23]	[−0.77]	[48.57]	[7.77]	[4.44]	[6.09]		
Quintile 3	−0.011	−0.013	0.931***	0.034**	0.100***	0.002	0.982	120
	[−0.21]	[−0.23]	[72.37]	[2.20]	[6.35]	[0.24]		
Quintile 2	−0.025	0.009	0.933***	−0.013	0.080***	−0.073***	0.969	120
	[−0.29]	[0.12]	[52.32]	[−0.59]	[3.65]	[−5.34]		
Quintile 1 (lowest)	−0.012	0.068	0.994***	−0.013	0.039	−0.174***	0.917	120
	[−0.07]	[0.47]	[29.38]	[−0.32]	[0.95]	[−6.72]		
Quintile 5 − Quintile 1	0.041	−0.152	0.038	0.480***	0.009	0.416***	0.579	120
	[0.12]	[−0.55]	[0.59]	[6.25]	[0.11]	[8.52]		

Read:

- In Panel A, $NewsHoldRetMkt$ has some predictive power before the full set of controls.
- After adding fund characteristics, Morningstar ratings, and style/objective-quarter fixed effects, the coefficient falls to about **0.025** and becomes insignificant.
- Panel B forms portfolios sorted by $NewsHoldRetMkt$.
- Decile and quintile portfolios do not generate significant risk-adjusted alphas.
- Long-short portfolios between high and low media-covered-holding-return funds also do not produce reliable positive alphas; four-factor alphas are negative.

Economic message. Investors do not appear to earn higher future returns by chasing funds with media-covered winners. The flow response is not obviously value-enhancing.

Table 8
Window dressing and investors' reaction to holdings' returns.

This table examines the relation between fund flows and measures of window dressing. The dependent variable is quarterly fund flow (*Flow*). The main independent variables of interest are the interaction terms of the measures of window dressing: the backward-looking return gap (*RetGapBack*) and the forward-looking return gap (*RetGapFwd*) with measures of holdings' returns. *RetGapBack* is the difference between fund returns and returns of fund holdings, based on the snapshot of fund holdings taken at the end of the reporting period for which the returns are measured. *RetGapFwd* is the difference between fund returns and returns of fund holdings based on the snapshot of holdings taken at the beginning of the reporting period for which the returns are measured. Controls include market-adjusted fund returns over the trailing year, squared market-adjusted fund returns over the trailing year, volatility of daily fund returns, fund age, expense ratio, fraction of holdings with media coverage, log assets, and the forward-looking return gap (Column 1) or the backward looking return gap (Column 2). All regressions include dummies for a fund's Morningstar rating, investment style-quarter fixed effects, and investment objective-quarter fixed effects. Variable definitions appear in Table A1. Reported *t*-statistics [in brackets] are based on standard errors clustered by fund and quarter. Significance levels at 10%, 5%, and 1% are indicated by *, ** and ***, respectively.

	Dependent variable= quarterly fund flow (*Flow*)	
Variable	(1)	(2)
NewsHoldRetMkt	0.123***	0.140***
	[2.79]	[2.90]
NewsHoldRetMkt∗RetGapFwd	−0.269	
	[−0.43]	
NewsHoldRetMkt∗RetGapBack		−0.872
		[−0.81]
HoldRetMkt	0.009	0.104
	[0.12]	[1.33]
HoldRetMkt∗RetGapFwd	1.083	
	[0.95]	
HoldRetMkt∗RetGapBack		1.010
		[0.91]
Controls, Morningstar rating FE	Yes	Yes
Objective-qtr FE and *Style-qtr FE*	Yes	Yes
R^2	0.046	0.047
Number of observations	49,078	49,200

5.8 Table 8: Window dressing and investor reaction to holdings returns

Read:

- The table interacts holdings returns with forward-looking and backward-looking return gaps.
- $NewsHoldRetMkt$ remains positive and significant.
- Interactions between $NewsHoldRetMkt$ and the return-gap measures are insignificant.
- Interactions between $HoldRetMkt$ and the return-gap measures are also insignificant.

Economic message. Investors do not strongly discount holdings that look window-dressed. This helps explain why buying visible winners before disclosure can attract flows.

6 Short summary

- The paper studies whether newspaper coverage of stocks held by mutual funds affects subsequent investor flows into those funds.
- The main empirical variable is the market-adjusted return of a fund's media-covered holdings.
- Investors reward funds holding media-covered winners and punish funds holding media-covered losers.
- This effect survives controls for fund returns, fund characteristics, ratings, style-quarter fixed effects, and objective-quarter fixed effects.
- The effect is strongest for heavily covered stocks and for recent coverage.
- The effect appears only after holdings disclosures become public.
- The evidence favors salience over information: prominent media placement, annual-report salience, and marketing-fee clienteles strengthen the response.
- Investors do not sufficiently distinguish between old winners and newly purchased winners.
- Chasing media-covered holdings does not reliably predict future fund performance.
- Media coverage appears to be a mechanism through which window dressing can work.

7 Conclusion

7.1 Core conclusion

The paper shows that mutual fund investors respond to the past returns of media-covered portfolio holdings. A fund holding visible winners attracts additional inflows even after controlling for its own performance and other fund characteristics.

7.2 Economic intuition

A disclosed mutual fund portfolio contains a long list of stocks. Investors are unlikely to process every holding equally. Stocks recently featured in major newspapers stand out. When those salient stocks have high past returns, investors appear to reward the fund, even when the holding return does not reveal managerial skill.

7.3 Takeaway

Media coverage can distort capital allocation by amplifying attention and return chasing. More public information does not automatically imply better investor choices; it can also make superficial signals more powerful.